

In 1967 Motorola management recognized that the rapid rate of growth anticipated in the years ahead would inevitably require steady expansion in the upper layers of management. It was decided to meet the problem head on. In that year Motorola opened its Executive Institute at Oracle, Arizona. It was designed so that, in an atmosphere remote from the daily details of the company's offices and plants, two things would happen: Motorola personnel of apparent unusual promise would be trained in matters beyond the scope of their immediate activities in order to be able to take on more important jobs; top management would be furnished significant further evidence as to the degree of promotability of these same people.

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*A large company's need to bring in a new chief executive from the outside is a damning sign of something basically wrong with the existing management . . .*

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At the time of the Executive Institute's founding, skeptics within the management questioned whether the effort would be worth the cost. This was largely because of their belief that fewer than a hundred people would be found in the whole Motorola organization with sufficient talent to make it worthwhile from the company's standpoint to provide them with this special training. Events have proven these skeptics spectacularly wrong. The Institute handles five to six classes a year, with fourteen in each class. By mid-1974 about 400 Motorola people had gone through the school; and a significant number, including some present vice-presidents, were found to have capabilities vastly greater than anything contemplated at the time they were approved for admission. Furthermore, those involved in this work feel that, from the company's standpoint, results in the